A Unique Idea: Does It Exist?

Many times, founders are dumbstruck when their idea seems to have been already put into practice by someone else; and this can be quite disheartening for them. However, there will always be similar ideas, and it is very rare that an idea occurs that is so very different from the others'. But if you can solve a problem for your customers better than the others, there's nothing that can beat you. And there is nothing like good execution.

The chief technical officer should be one who understands the mechanics of the product being built. Having a group or an expert for business development is equally important for figuring out a suitable business model and scaling the startup to next level. Overall, it can be said that stronger the foundation, the higher the fortress goes.

The first 500 days

The initial days of a startup are a deciding factor of how its journey would look like. With much to figure out while building a company, the learning really has no end—no matter how big it gets.

Notably, the initial days pass by in figuring out and having a stable business model in place. You try to have a steady cash flow from a stable customer base and try to keep your input and output in sync. Ray says, "A clear balance sheet should start emerging because 500 days is more than a year and, by that time, you should have a balance sheet that speaks for itself. It's not the scale of the balance sheet, or how large the balance sheet is, but how robust it is."

By this time, the founding team members must also be clear about their role and where they should aim to take the company. Ticking off boxes of some of the goals that a startup should hit in a stipulated time can provide a clearer and better picture of how the future would look like for the company. While not achieving them doesn't mean the startup is doomed, it shows how well the benchmark is set.

Ray adds, "There must be some predictability that if you do this particular task then the probability of hitting this goal is high. A lot of people talk about success, but if you do not have the right parameters, then it is difficult. You need to be very clear about what you're looking for because if you miss that, the test board itself is wrong and you will keep thinking you are going the right way even when you aren't."

Ray notes that after the first 500 days, a startup should be essentially ready to scale up. But to reach that stage, it is important to have a sufficient cash flow that will help it survive the initial 500 days.

However, scaling up a startup is easier said than done. A startup usually begins and survives its initial stage through bootstrapping and the founders' own capital. Scaling up usually requires funds on a much larger scale. "The game of scaling up is very different from the game of starting up and proving your product's worth," notes Ray. Here is where the knowledge of a mentor or incubator comes in handy.

Accelerators and incubators

Investors, venture capitalists (VCs), accelerators, and incubators play a significant and influential role in startup ecosystem. They are the backbone of startups, providing a lot of grounding and mentoring to get access to the market.

Investors have an undoubtedly wide network, definitely much wider than any budding entrepreneur can boast of. They get exposed to various VCs, embassies, and government projects that gives them access to awards, funding, and grants, and opportunities to showcase the product. Their access to various trade commissions and embassies helps in showcasing startup projects in those countries and enter those geographies.

Creating a perfect proposal for investors can be tricky, but it need not be. Shastry wants the startups to remember the investors, "If they see that the team is strong and the credentials of the team are relevant to what is being solved, then that is something that they definitely look for. The moment the investors see that both the team and the ability for execution and pivoting towards the problem solution is strong, they fall in love with such types of startups."

In spite of all this, there are very few startups that actually end up getting funds from VCs and incubators, and the competition has become even more rigid post-Covid. However, there is no reason to be disheartened if an investor rejects you. At no point in time does getting into an incubator define your success or failure.

Jayaraju, in response to the situation above, reassures, "I think the best thing about VCs is that the more they reject you, the more you tend to refine your proposition and make your business model even more successful. You never know if you're gonna be successful after the first pitch or the sixtieth pitch, but by asking the right kind of questions, you can still add value. Even if they don't fund you, most of them are open to giving you suggestions, and they are more than happy to help you connect with other people,"

In support, Ray concludes, "Sometimes a startup journey can be a very lonely one and may seem like you're just sitting as a frog in a well. It is the incubators, accelerators, and VCs

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